Notes: Maggiori, Neiman, & Schreger (JPE, 2020)
International Currencies and Capital Allocation

Contents

1 Big picture

- **Question.** How does the currency of denomination of securities shape global bond portfolios and the allocation of foreign capital across firms?
- **Main contribution.** The paper uses new security-level holdings data to show that currency is a first-order determinant of cross-border capital allocation, not just a detail of bond contract design.
- **Data innovation.** The authors assemble mutual fund and ETF holdings around the world. By 2017, the data cover about $32 trillion in global investment positions and allow the authors to observe investor domicile, issuer parent, security currency, asset class, and bond characteristics.
- **Fact 1: home-currency bias.** Investors disproportionately hold bonds denominated in their own currency. This is true even when comparing different bonds issued by the same parent firm.
- **Fact 2: capital allocation across firms.** Large firms issue in foreign currencies and borrow from foreign investors. Smaller or medium firms often issue only in local currency and are mostly held by domestic investors.
- **Fact 3: the dollar exception.** The United States is different because foreign investors willingly hold dollar-denominated debt. A US firm that issues only in dollars can still access foreign capital in a way that local-currency-only firms in other countries generally cannot.
- **Fact 4: post-2008 shift.** Cross-border corporate bond portfolios moved sharply out of euro-denominated bonds and into dollar-denominated bonds after the global financial crisis.
- **Key implication.** International-currency status effectively opens the capital account for domestic-currency borrowers. For countries without an international currency, firms may need to issue in foreign currency to reach foreign investors.
- **Limitation.** The paper observes quantities and holdings, not bond prices or borrowing costs. It establishes the portfolio and allocation facts but does not estimate the welfare gains or price effects of international-currency issuance.

2 Data and measurement

2.1 Morningstar holdings data

- The core data are security-level mutual fund and ETF holdings from Morningstar.
- The authors use positions of funds domiciled in countries where the coverage is sufficiently complete relative to outside benchmarks.
- The baseline domicile countries are the United States, the European Monetary Union, Canada, the United Kingdom, Switzerland, Sweden, Australia, Norway, Denmark, and New Zealand.
- The data include fixed income, equity, allocation, and money market funds, but the key tests focus on corporate bonds.
- Exchange-traded funds are included, but the authors often refer to the sample as mutual funds because ETFs are a small share of fixed-income assets in the early sample period.

Interpretation: The data provide a rare view of who holds which securities, in which currency, and from which issuer. This is what lets the paper distinguish home-country bias from home-currency bias.

2.2 Ultimate parent and country assignment

- Securities are mapped to ultimate parent firms rather than only to legal issuance vehicles.
- This matters because many bonds are issued through tax havens or financial subsidiaries.
- The parent-firm mapping is used to assign the country and industry responsible for servicing the debt.
- The approach follows the unwinding procedure of Coppola et al. (2020).

Interpretation: Without ultimate-parent mapping, a Cayman or Luxembourg bond issued by a subsidiary of a multinational could be misclassified. The paper wants economic exposure, not legal shell location.

2.3 Investor-country measurement

- The paper treats mutual fund domicile as a proxy for investor country.
- This is supported by comparisons with aggregate external data such as TIC and CPIS.
- The authors also benchmark total assets under management against Investment Company Institute data.

Interpretation: The empirical question is about the nationality of capital. Fund domicile is not perfect, but the paper shows it lines up well enough with external portfolio statistics for the countries studied.

2.4 Main variables

Let $s_{j,p,c}$ denote the share of the holdings of security c, issued by parent firm p, that is held by investors from country j.

- **Investor country:** j.
- **Parent firm:** p.
- **Security:** c.

- **Home-currency indicator:** equals one when security c is denominated in the currency of investor country j.
- **Home-country indicator:** equals one when the issuer's parent country is country j.
- **LC-only firm:** a firm that issues all of its bonds in its local currency.
- **Multiple-currency firm:** a firm that issues bonds in more than one currency.

Interpretation: The key dependent variable is a security-level portfolio share. The key explanatory variable is the match between investor currency and bond currency.

2.5 Why corporate bonds are central

- Government bonds have special liquidity, safety, and policy roles.
- Structured finance and supranational debt may have different issuer and currency motives.
- Corporate bonds are the cleanest setting for studying firms' currency-of-issuance choices and investors' currency preferences.

Interpretation: The corporate bond market directly links firm financing choices to the nationality and currency preferences of investors.

3 Empirical specifications and interpretation

3.1 Within-firm home-currency bias regression

The core specification is

$$s_{j,p,c} = \alpha_{j,p} + \beta_j \mathbf{1}\{Currency_c = Currency_j\} + \Gamma_j' Controls_c + \varepsilon_{j,p,c}. \tag{1}$$

- $\alpha_{j,p}$ is an investor-country-by-parent-firm fixed effect.
- The home-currency indicator equals one if bond c is denominated in investor j's currency.
- Controls include maturity and coupon bins.
- β_j measures how much more investor j holds of bonds denominated in its own currency, relative to other bonds issued by the same firm.

Interpretation: The parent-firm fixed effect is powerful: it compares two securities issued by the same firm. This helps isolate currency denomination from credit risk, industry, and issuer nationality.

3.2 Home-country versus home-currency regressions

To compare classic home-country bias with currency bias, the paper estimates:

$$s_{j,p,c} = \alpha_{j,0} + \gamma_{j,0} \mathbf{1}\{Country_p = j\} + \varepsilon_{j,p,c}, \tag{2}$$

$$s_{j,p,c} = \alpha_{j,1} + \beta_{j,0} \mathbf{1}\{Currency_c = Currency_j\} + \varepsilon_{j,p,c}, \tag{3}$$

$$s_{j,p,c} = \alpha_{j,2} + \gamma_{j,1} \mathbf{1}\{Country_p = j\} + \beta_{j,1} \mathbf{1}\{Currency_c = Currency_j\} + \varepsilon_{j,p,c}. \tag{4}$$

Interpretation: If home-country bias is mainly home-currency bias in disguise, the home-country coefficient should shrink when the home-currency dummy is included. That is exactly what Table 4 shows.

3.3 Firm selection into foreign-currency issuance

The paper studies whether firm size predicts issuing in multiple currencies:

$$\Pr\left(\mathbf{1}\{MC_p\} = 1\right) = \Phi\left(\alpha_j + \beta_j Size_p + \gamma_j' Industry_p\right). \tag{5}$$

- MC_p equals one if parent firm p issues in multiple currencies.
- $Size_p$ is measured using bond issuance, EBIT, total assets, or revenue.
- The regressions include two-digit SIC industry fixed effects.

Interpretation: The size coefficient tests whether access to foreign-currency debt issuance looks like a fixed-cost decision. The empirical answer is yes: larger firms are much more likely to issue in foreign currency.

3.4 Time-series dollar and euro share regressions

To check that the rise of the dollar is not driven by sample composition, the paper estimates currency-share regressions of the form

$$Share^m_{ij,t} = \alpha_{ij} + \tau^m_t + u^m_{ij,t}, \tag{1}$$

where $m \in \{USD, EUR\}$, i is the issuer country, j is the investor country, and α_{ij} is a country-pair fixed effect.

Interpretation: Country-pair fixed effects mean the dollar/euro trend is identified from changes within the same investor-issuer pair over time, not from changes in which countries enter the data.

4 Identification and empirical design

4.1 What identifies home-currency bias

- The strongest identification comes from comparing securities issued by the same ultimate parent firm.
- This means the issuer's credit risk, country, and industry are held fixed.
- Coupon and maturity bins absorb simple bond-design differences.
- The remaining variation comes from bond currency and investor country.

Interpretation: This design does not claim that currency is randomly assigned. It shows that even within the same firm, investors disproportionately choose the bonds in their own currency.

4.2 What identifies the firm-level capital-allocation result

- The firm-level analysis compares domestic and foreign investors' holdings across parent firms.
- It separates firms that issue in foreign currency from firms that issue only in local currency.
- The central fact is that LC-only firms often receive substantial domestic bond investment but little foreign bond investment.
- The same LC-only firms can receive foreign equity investment, which weakens the argument that they are simply unknown or unattractive to foreigners.

Interpretation: The evidence points to the currency of bond issuance itself as a barrier to foreign debt investment.

4.3 Why the United States is special

- Foreign investors hold large shares of US dollar-denominated debt.
- For US firms, dollar issuance is both local-currency issuance and international-currency issuance.
- Therefore, US LC-only firms can still access foreign bond capital.

Interpretation: The dollar gives US firms a financing advantage: they can borrow in domestic currency without losing access to foreign bond investors.

4.4 Limits of the empirical design

- The paper is primarily descriptive and does not estimate a structural model of investor demand.
- The data contain holdings but not prices or yield spreads.
- Fund domicile may not perfectly measure the ultimate investor's residence.
- Mutual funds and ETFs may not represent every institutional investor type.
- The paper documents a selection pattern but does not estimate the fixed cost of foreign-currency issuance.

Interpretation: The results are best read as stylized facts that future models of international finance need to match.

5 Tables and figures

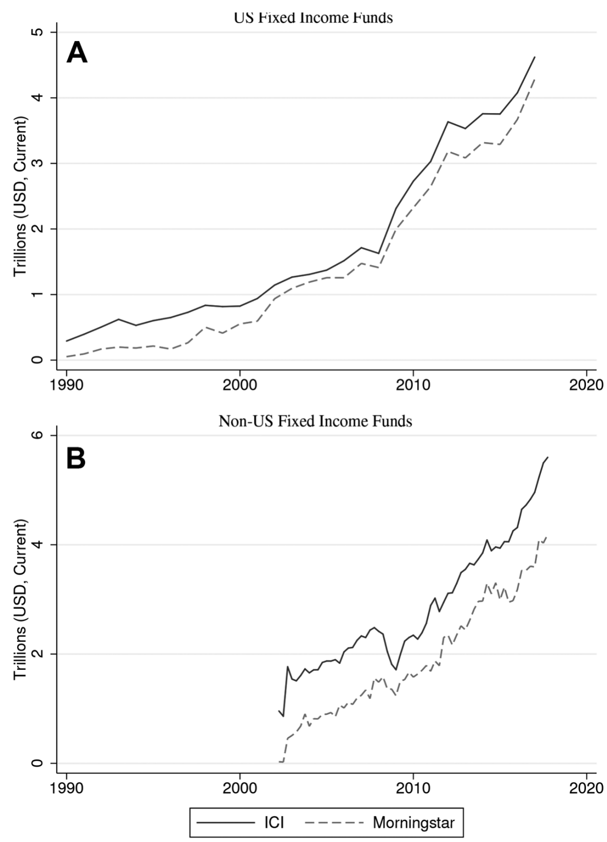
This section keeps the same *Read* plus *Economic message* format, while grouping adjacent visuals to save space and speed up reading. All visuals are directly cropped from the original paper.

5.1 Figure 1 and Table 1: data coverage and sample countries

Read:

- Figure 1 shows that Morningstar's fixed-income fund coverage tracks aggregate Investment Company Institute assets closely for US and non-US funds.
- Table 1 lists the ten domicile countries included in the main analysis.
- The United States and EMU are by far the largest domiciles, with 2017 AUMs of about $21.1 trillion and $7.0 trillion.
- The remaining included domiciles are Canada, the United Kingdom, Switzerland, Sweden, Australia, Norway, Denmark, and New Zealand.

Economic message: The paper's evidence rests on a large but not universal set of fund domiciles. The benchmark comparisons make the data credible for studying global portfolio patterns.



(a) Figure 1: Morningstar coverage.

TABLE 1
DOMICILE COUNTRIES INCLUDED IN ANALYSES

	Country Code	AUMs in 2017 (billion USD)
(1) United States	USA	21,077
(2) European Monetary Union	EMU	7,004
(3) Canada	CAN	1,437
(4) United Kingdom	GBR	1,408
(5) Switzerland	CHE	431
(6) Sweden	SWE	355
(7) Australia	AUS	313
(8) Norway	NOR	133
(9) Denmark	DNK	127
(10) New Zealand	NZL	43

NOTE.—This table reports total assets under management (AUMs) for the countries (i.e., domiciles of mutual funds and ETFs) that have sufficient coverage relative to the level of AUMs reported in ICI and therefore are included in our main analyses. All types of funds (equity, fixed income, allocation, and money markets) are included in the AUM figures.

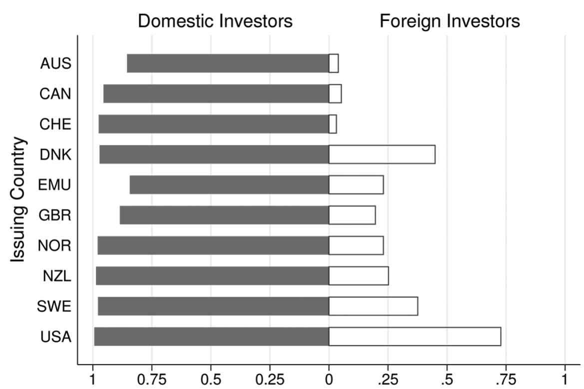
(b) Table 1: domicile countries.

5.2 Figures 2 and 3: local-currency debt and external portfolio currency

Read:

- Figure 2 compares the local-currency share of domestic versus foreign investment in each country's corporate bonds.
- Domestic investors hold mostly local-currency corporate bonds in every country.
- Foreign investors hold much lower local-currency shares, except in the United States.
- Figure 3 shows that external portfolios are mainly denominated either in the investor's own currency or in US dollars.
- The United States is the clearest exception because foreign external portfolios can be heavily dollar denominated.

Economic message: Foreigners do not simply buy each country's bond market in proportion to outstanding securities. They sort away from most local currencies and toward their home currency or the dollar.



(a) Figure 2: issuer local-currency shares.

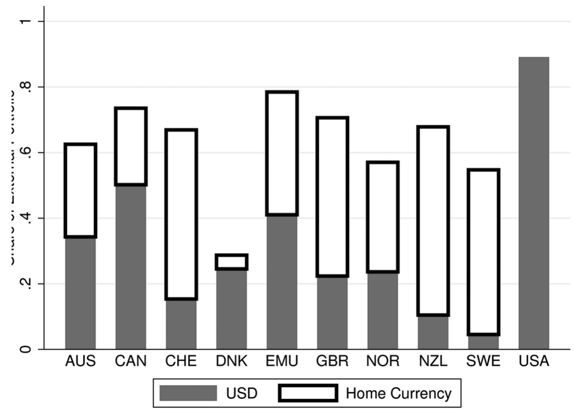


Fig. 3.—Role of home currency and the US dollar in external portfolios, 2017. The

(b) Figure 3: home currency and dollar in external portfolios.

5.3 Tables 2 and 3: within-firm home-currency bias and robustness

Read:

- Table 2 estimates the within-firm home-currency bias regression.
- The home-currency coefficient is positive and significant for every investor country, ranging from 0.446 for the United Kingdom to 0.899 for Canada.
- The United States coefficient is 0.626, reflecting strong dollar bias among US investors.
- Table 3 shows the result survives many alternative samples: multicurrency firms, foreign firms, international issuance, financial firms, nonfinancial firms, all bonds, residency controls, and governing-law controls.

Economic message: Investors prefer their own currency even when choosing among bonds issued by the same firm. This is the cleanest evidence that currency denomination itself matters.

TABLE 2

HOME-CURRENCY BIAS: WITHIN-FIRM VARIATION, 2017

	j									
	AUS	CAN	CHE	DNK	EMU	GBR	NOR	NZL	SWE	USA
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Currency	.607***	.899***	.722***	.568***	.559***	.446***	.801***	.707***	.640***	.626***
	(.042)	(.013)	(.011)	(.060)	(.012)	(.022)	(.028)	(.131)	(.024)	(.013)
Observations	36,229	36,229	36,229	36,229	36,229	36,229	36,229	36,229	36,229	36,229
Number of firms	7,802	7,802	7,802	7,802	7,802	7,802	7,802	7,802	7,802	7,802
R^2	.779	.958	.934	.775	.848	.800	.934	.823	.871	.892
Firm fixed effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

NOTE.—This table reports estimates of the regression in eq. (1). The dependent variable is the share of each security (at the CUSIP nine-digit level) bought by each country in our sample: $s_{j,p,c}$. We include fixed effects at the ultimate parent firm level. Controls include maturity and coupon bins. Standard errors in parentheses are clustered at the ultimate parent firm level.

*** $p < .01$.

Figure 3: Table 2: home-currency bias using within-firm variation.

TABLE 3

HOME-CURRENCY BIAS: ROBUSTNESS, 2017

	AUS	CAN	CHE	DNK	EMU	GBR	NOR	NZL	SWE	USA
(1) MC only:										
β	.606***	.897***	.721***	.577***	.555***	.444***	.800***	.708***	.648***	.624***
Observations	6,472	5,656	7,475	896	15,310	10,818	3,160	3,161	3,243	14,686
(2) Foreign:										
β	.478***	.905***	.714***	.849***	.590***	.453***	.829***	.700***	.658***	.579***
Observations	34,814	33,626	34,835	35,329	26,309	33,321	34,417	36,098	34,878	22,434
(3) Foreign, international:										
β	.549***	.935***	.769***	.809***	.618***	.457***	.895***	.958***	.632***	.628***
Observations	4,586	4,581	4,369	4,754	3,503	4,022	4,647	4,719	4,691	3,112
(4) Financial:										
β	.654***	.885***	.719***	.552***	.557***	.408***	.837***	.854***	.670***	.615***
Observations	15,457	15,457	15,457	15,457	15,457	15,457	15,457	15,457	15,457	15,457
(5) Nonfinancial:										
β	.534***	.916***	.727***	.679***	.560***	.494***	.614***	.516**	.551***	.638***
Observations	18,595	18,595	18,595	18,595	18,595	18,595	18,595	18,595	18,595	18,595
(6) Foreign financial:										
β	.493***	.877***	.713***	.881***	.588***	.406***	.860***	.854***	.751***	.564***
Observations	14,584	14,500	14,609	14,903	11,074	13,996	14,408	15,444	14,536	11,059
(7) Foreign nonfinancial:										
β	.460***	.932***	.717***	.814***	.593***	.501***	.614***	.486**	.474***	.595***

(a) Table 3, part 1.

	AUS	CAN	CHE	DNK	EMU	GBR	NOR	NZL	SWE	USA
(10) Residency:										
β	.605***	.888***	.721***	.560***	.555***	.445***	.792***	.642***	.642***	.614***
Residency	.007	.046***	.020	.135**	.045**	.023	.047**	.164*	−.020	.091***
Observations	36,229	36,229	36,229	36,229	36,229	36,229	36,229	36,229	36,229	36,229
(11) Own governing law:										
β	.404***				.598***	.502***			.658***	.612***
Governing law	.201***				−.017	.002			.032	.087***
Observations	16,905				16,905	16,905			16,905	16,905

NOTE.—(1) Includes only the debt of firms that issue in multiple currencies (MCs), including the local currency of the issuer. (2) Includes only foreign firms from the perspective of the investing country. (3) Includes only the international issuance of foreign firms. (4) Includes only financial firms. (5) Includes only nonfinancial firms. (6) Includes only foreign financial firms. (7) Includes only foreign nonfinancial firms. (8) In addition to corporate bonds, includes structured finance (SF), sovranational issuance (SV), and local-government debt (LS). (9) Includes all bonds. (10) Sample is the benchmark set of corporates; regression specification includes the usual dummy for the bond being denominated in the investing country's currency and also includes a dummy for the bond being issued in the investing country. (11) Similar to (10) but includes a dummy for the bond being issued under the investing country's governing law. Controls include maturity and coupon bins. Standard errors are omitted for readability, but are clustered at the ultimate parent firm level. For some specifications, there is not sufficient variation available to estimate the regression and therefore we leave those specifications blank.

* $p < .1$.
** $p < .05$.
*** $p < .01$.

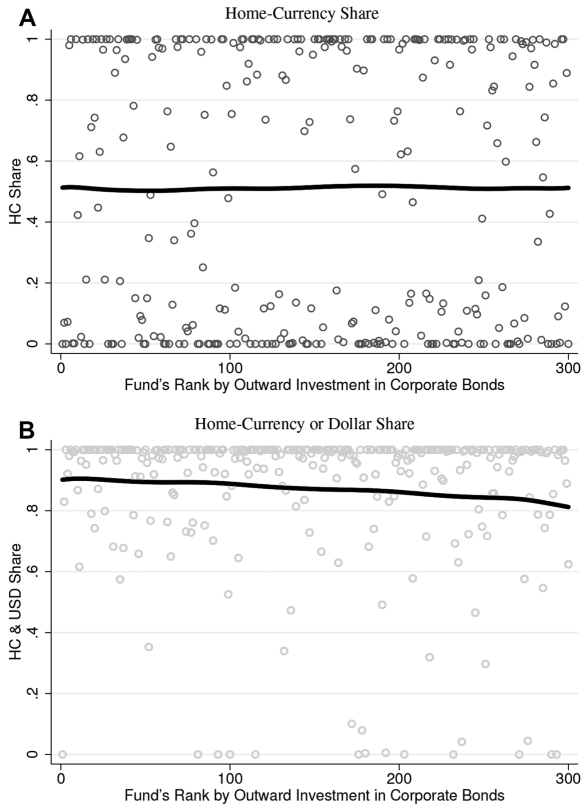
(b) Table 3, part 2.

5.4 Figure 4 and Table 4: fund-level bias and home-country versus home-currency bias

Read:

- Figure 4 shows the distribution of home-currency shares across funds.
- Many funds are at either very high or very low home-currency shares, but the lowess line is around one-half in panel A.
- When home currency and the dollar are grouped together, panel B shows a much higher average share, near 0.8-0.9.
- Table 4 shows that home-currency indicators explain much more of security-level holdings than home-country indicators.
- When both indicators are included, the home-country coefficient shrinks sharply while the home-currency coefficient stays large.

Economic message: Classic home-country bias in bond portfolios is partly a currency phenomenon. Knowing the currency of a bond is more informative than knowing the issuer's nationality.



(a) Figure 4: fund-level currency bias.

TABLE 4
HOME-COUNTRY BIAS AND HOME-CURRENCY BIAS, 2017

	Only Home-Country Indicator		Only Home-Currency Indicator		Home-Country and Home-Currency Indicators		
	$\gamma_{j,0}$ (1)	R^2 (2)	$\beta_{j,0}$ (3)	R^2 (4)	$\gamma_{j,1}$ (5)	$\beta_{j,1}$ (6)	R^2 (7)
AUS	.100	.089	.659	.712	.027	.642	.718
CAN	.497	.433	.930	.936	.035	.901	.937
CHE	.356	.240	.851	.903	.051	.823	.907
DNK	.402	.470	.597	.698	.023	.575	.699
EMU	.438	.296	.666	.695	.093	.615	.704
GBR	.166	.132	.475	.664	.026	.463	.667
NOR	.547	.521	.833	.885	.029	.808	.885
NZL	.711	.373	.805	.738	.138	.736	.747
SWE	.416	.458	.656	.823	.018	.641	.823
USA	.463	.388	.675	.795	.078	.625	.802

NOTE.—Columns 1 and 2 report estimates of the regression in eq. (2). Columns 3 and 4 report estimates of the regression in eq. (3). Columns 5–7 report estimates of the regression in eq. (4). The dependent variable is the share of each security (at the CUSIP nine-digit level) bought by each country in our sample: $s_{j,p,c}$.

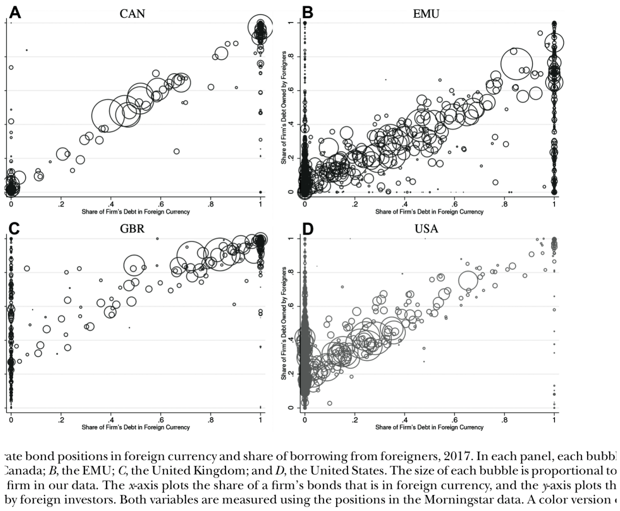
(b) Table 4: home-country versus home-currency bias.

5.5 Figures 5 and 6: foreign-currency issuance and firm size

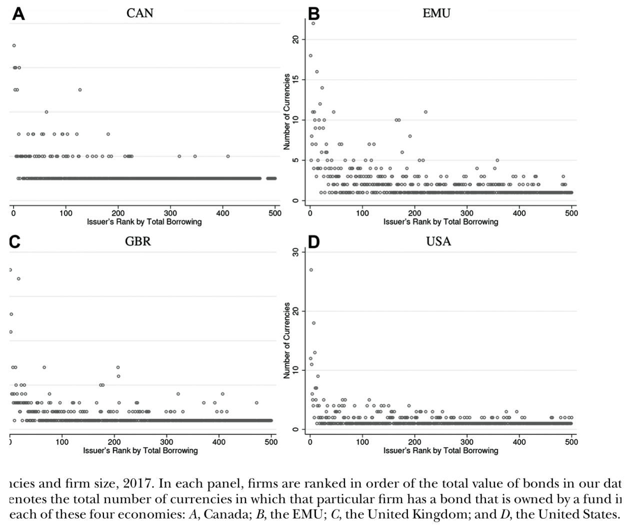
Read:

- Figure 5 plots the share of each firm's bonds in foreign currency against the share of those bonds owned by foreign investors.
- Canada, the EMU, and the United Kingdom show a clear positive relation: foreign-currency issuance is associated with foreign ownership.
- The United States is different: even firms with a low foreign-currency share can have high foreign ownership because dollar debt is internationally held.
- Figure 6 shows that the largest firms issue in the most currencies.
- Most firms issue in only one currency; multi-currency issuance is concentrated among large firms.

Economic message: Foreign-currency issuance is a gateway to foreign bond capital for non-US firms. The pattern resembles a fixed-cost selection mechanism.



(a) Figure 5: foreign currency and foreign ownership.



(b) Figure 6: number of currencies and firm size.

5.6 Table 5 and Figure 7: size predicts foreign-currency debt and LC-only firms are domestic-held

Read:

- Table 5 shows that firm size positively predicts foreign-currency or multi-currency debt issuance in nearly every country and size measure.
- For the United States, the coefficient is positive but smaller: 0.023 using bond issuance, compared with larger values in many smaller markets.
- Figure 7 shows Canadian corporate bond holdings. Panel A includes all issuers; panel B restricts to firms issuing only in Canadian dollars.
- Once the sample is restricted to LC-only firms, foreign positions are much smaller than domestic positions.

Economic message: The firm-level pattern is stark: many local-currency-only firms are held mostly by domestic investors, while foreign investors concentrate in firms that issue foreign-currency debt.

TABLE 5
Firm Size and Foreign-Currency Debt Issuance

	Measure of Size (log billion USD)			
	Bond Issuance (1)	EBITs (2)	Assets (3)	Revenue (4)
AUS:				
Size	.093***	.423***	.092***	.200***
	(.011)	(.130)	(.030)	(.050)
Observations	497	81	83	93
CAN:				
Size	.051***	.226***	.067***	.133***
	(.010)	(.064)	(.017)	(.026)
Observations	675	381	384	410
CHE:				
Size	.018	.321***	.097***	.158***
	(.017)	(.041)	(.031)	(.026)
Observations	211	50	50	56
DNK:				
Size	.128***			
	(.017)			
Observations	50			
EMU:				
Size	.031***	.282***	.050***	.105***
	(.005)	(.026)	(.011)	(.013)
Observations	2,998	682	687	810
GBR:				
Size	.055***	.268***	.085***	.194***
	(.007)	(.075)	(.022)	(.027)
Observations	1,352	199	202	234
NOR:				
Size	.110***	.786*	.139***	.277***
	(.010)	(.414)	(.046)	(.065)
Observations	332	68	68	79
NZL:				
Size	.234***			
	(.017)			
Observations	41			
SWE:				
Size	.105***	.430***	.159***	.204***
	(.014)	(.084)	(.037)	(.033)
Observations	239	54	54	79
USA:				
Size	.023***	.116***	.050***	.063***
	(.001)	(.007)	(.003)	(.004)
Observations	9,822	3,350	3,389	3,708

Note.—This table reports the results from the probit regression in eq. (5). Each row is a different regression where "size" is defined as billions of dollars of principal of bond issuance (col. 1), billions of dollars of earnings before interest and tax (EBITs; col. 2), billions of dollars of total assets (col. 3), and billions of dollars of total revenue (col. 4). Every specification includes two-digit SIC industry fixed effects. We do not run regressions with less than 20 observations. Coefficients reported are average marginal effects. Standard errors for marginal effects are calculated using the delta method. All specifications are run using data for 2017.

* $p < .1$.

*** $p < .01$.

(a) Table 5: firm size and foreign-currency issuance.

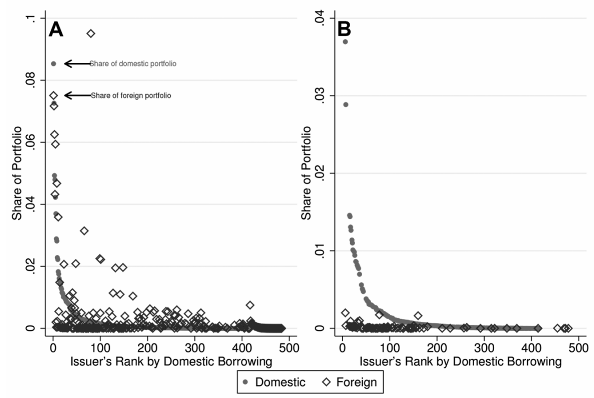


Fig. 7.—Canadian corporate bonds held in domestic and foreign portfolios, 2017. *A*, All

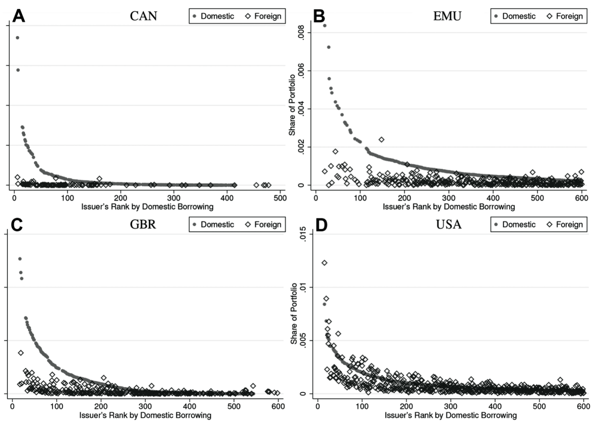
(b) Figure 7: Canadian firms in bond portfolios.

5.7 Figures 8 and 9: LC-only firms in bond and equity portfolios

Read:

- Figure 8 repeats the LC-only comparison for Canada, the EMU, the United Kingdom, and the United States.
- In Canada, the EMU, and the United Kingdom, LC-only issuers account for large domestic bond positions but small foreign bond positions.
- In the United States, LC-only firms are held by both domestic and foreign bond investors because the local currency is the dollar.
- Figure 9A summarizes the bond result: LC-only firms are much more important in domestic bond portfolios than in foreign bond portfolios outside the United States.
- Figure 9B shows the equity contrast: foreign investors do hold equity of LC-only firms, which weakens the idea that these firms are simply unknown or unattractive.

Economic message: The barrier is not the firm itself; it is the currency of the debt claim. Foreigners buy LC-only firms' equity but avoid their local-currency debt.



bonds from LC-only issuers in domestic and foreign portfolios, 2017. This figure plots the corporate bond portfo
n *A*, Canada; *B*, the EMU; *C*, the United Kingdom; and *D*, the United States. The portfolio positions in each iss
in the domestic portfolio. Each panel plots only those firms that issue entirely in the local currency. Dots indicat
ls indicate foreign positions. A color version of this figure is available online.

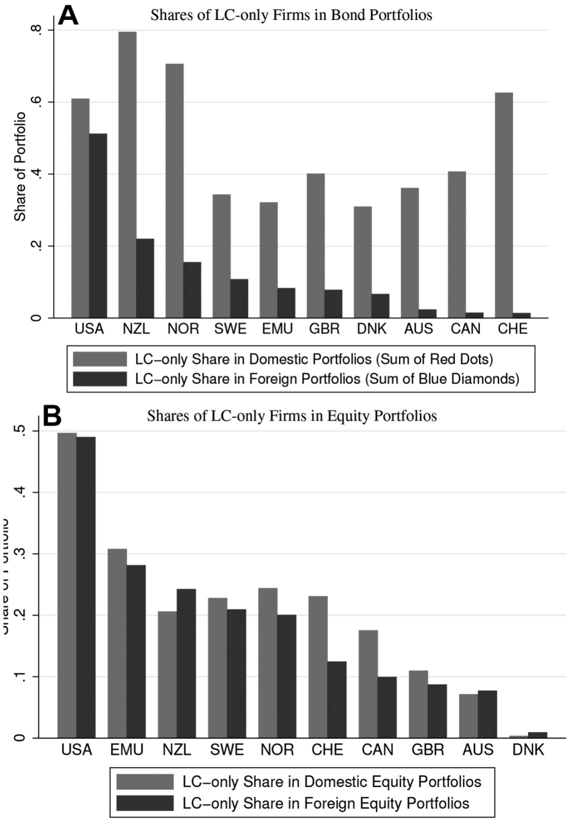


Fig. 9.—Shares of LC-only firms in domestic and foreign portfolios, 2017. *A*, The share
all bonds that is issued by firms that borrow only in local currency in domestic investors'
mestic bond portfolios (*gray bars*) and in foreign investors' bond portfolios in that par-

(a) Figure 8: LC-only issuers across countries.

(b) Figure 9: LC-only firms in bond versus equity portfolios.

5.8 Figures 10-11 and Table 6: the dollar rises and the euro falls

Read:

- Figure 10 shows that the dollar share of cross-border corporate bond positions rises sharply after 2008, while the euro share falls.
- Table 6 quantifies the shift. For corporate bonds held by foreigners, the dollar share rises from 0.405 in 2005 and 0.423 in 2008 to 0.631 in 2017; the euro share falls from 0.382 in 2005 and 0.316 in 2008 to 0.218 in 2017.
- For all bonds held by foreigners, the dollar share rises from 0.420 in 2005 to 0.582 in 2017, while the euro share falls from 0.315 to 0.167.
- Figure 11 shows robustness: the shift survives excluding US/EMU borrower-lender pairs, using fixed exchange rates, and restricting to nonfinancial corporate bonds.

Economic message: The dollar's role as an international bond currency strengthened after the crisis. The euro's role weakened, and the change is not only a valuation or sample-composition artifact.

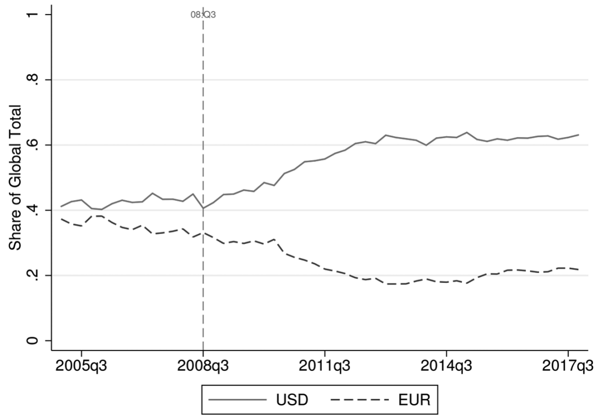


FIG. 10.—Rising dollar and falling euro shares of cross-border corporate bond positions. This figure plots the share of dollar- and euro-denominated corporate bonds in total

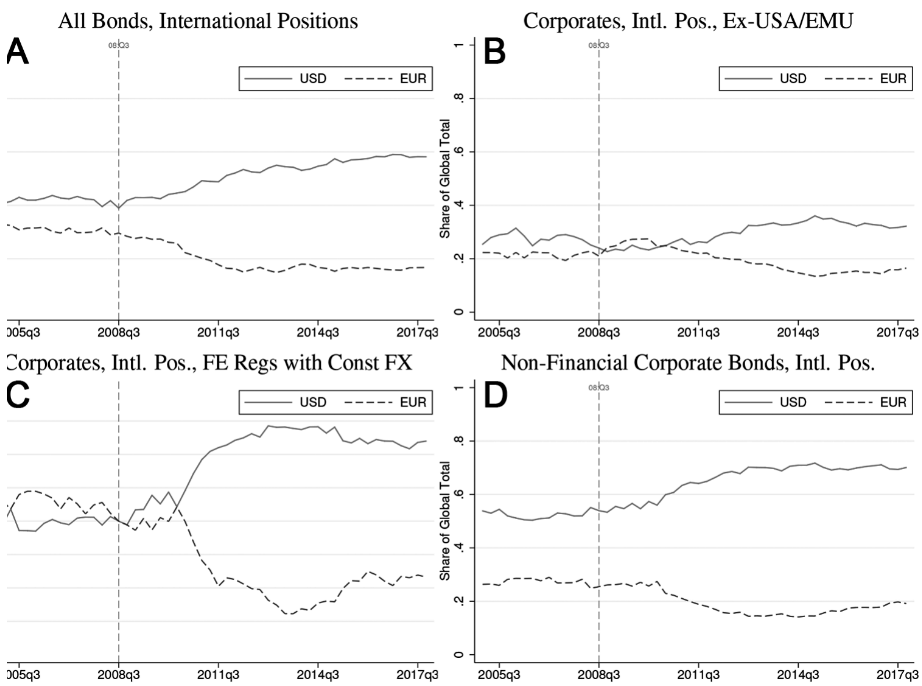
TABLE 6
THE RISE OF THE DOLLAR AND FALL OF THE EURO

Specification	2005	2008	2017
(1) All bonds:			
USD share	.556	.667	.696
EUR share	.312	.219	.161
(2) All bonds held by foreigners:			
USD share	.420	.419	.582
EUR share	.315	.284	.167
(3) Government bonds held by foreigners:			
USD share	.457	.441	.497
EUR share	.181	.184	.099
(4) Corporate bonds held by foreigners:			
USD share	.405	.423	.631
EUR share	.382	.316	.218
(5) Financial corporate bonds by foreigners:			
USD share	.345	.385	.538
EUR share	.439	.335	.254
(6) Nonfinancial corporate bonds by foreigners:			
USD share	.520	.533	.701
EUR share	.282	.261	.191
(7) Corporate bonds by foreigners, excluding USA and EMU:			
USD share	.294	.227	.322
EUR share	.203	.243	.165

NOTE.—This table reports the portfolio shares of euro and dollar denominated bonds at year end in 2005, 2008, and 2017. We study seven different sets of bonds and report the dollar shares in the first rows and the euro shares in the second rows.

(a) Figure 10: USD and EUR shares over time.

(b) Table 6: the rise of the dollar and fall of the euro.



and falling euro shares of cross-border bond positions: robustness. *A*, Share of dollar- and euro-denominated
Analogous shares but only for corporate bonds and further excluding positions for which either the US or the
r. *C*, Currency shares estimated using bilateral country fixed effects on the data set constructed with fixed excl
its reflecting the position sizes in the first quarter of 2009. *D*, Showing that these trends hold also for nonfinanc
ure is available online.

Figure 10: Figure 11: robustness of the dollar/euro trend.

6 Short summary

- The paper establishes that the currency of denomination is a central determinant of cross-border bond holdings.
- Investors exhibit strong home-currency bias: they prefer bonds denominated in their own currency.
- This remains true within the same parent firm, which isolates currency from issuer fundamentals.
- Home-country bias in corporate bonds is partly confounded with home-currency bias.
- Foreign investors generally avoid local-currency corporate debt outside the United States.
- Firms that issue in foreign currencies obtain more foreign bond capital.
- Multi-currency issuance is concentrated among large firms, consistent with a fixed cost of accessing foreign currency bond markets.
- Local-currency-only firms are disproportionately held by domestic bond investors, but foreigners often hold their equity.
- The United States is special because dollar debt is both local-currency debt for US firms and international-currency debt for foreign investors.
- After 2008, global cross-border corporate bond portfolios shift strongly toward the dollar and away from the euro.
- The paper's facts imply that international-currency status affects real capital allocation by expanding the set of investors willing to hold domestic-currency debt.

7 Conclusion

7.1 Core conclusion

Maggiori, Neiman, and Schreger show that global capital allocation is organized around currencies. Investors do not simply choose countries or firms; they choose currencies. This means that a firm's ability to borrow from foreign investors depends strongly on the currency in which it issues debt.

7.2 Economic intuition

A foreign investor who dislikes unhedged currency exposure may avoid a firm's local-currency bonds even if the firm itself is attractive. To reach that investor, the firm may need to issue in the investor's currency or in a widely accepted international currency such as the dollar. Issuing in foreign currency may involve fixed costs, so only larger firms can do it. This creates a segmentation pattern: large firms access global bond capital, while smaller local-currency-only firms rely mostly on domestic investors.

7.3 Takeaway

The paper reframes international capital flows around currency, not just geography. The dollar's international role gives US firms an unusual advantage: they can borrow internationally while issuing in domestic currency. For most countries, by contrast, local-currency debt does not travel easily across borders. Any model of global portfolios and international capital allocation needs to match this home-currency bias.